

PERSONAL FINANCIAL PLANNING

ESTATE PLANNING

Q1. Jaikishenji is a retiree and has accumulated a good amount of wealth. He is now 75 and lives with his son's family. Jaikishenji wants to ensure that his wealth is equitably distributed among his three children—two sons and a daughter—without any dispute or procedural hassle, in a tax-efficient manner. What are his choices?

Nomination is a simple way to ensure that investments are transferred to the children. There is documentation involved, all the same. Gifting to children is simpler but irrevocable. A will that seeks formation of a trust or a Hindu Undivided Family (HUF) is tax efficient. Jaikishenji needs to seek options that are flexible and save tax. Inheritance itself is not subject to tax, though the income earned from the inherited wealth is taxable.

Jaikishenji may not be able to avoid the documentation issues involved in the transfer of his wealth. If he chose nomination as the route, he can change the nomination any number of times during his lifetime. For his children to have the investments transferred to them, they'll have to submit the required documents. It is also important to note that transfer does not amount to a final settlement under succession laws.

The nominee only holds the wealth as a trustee, until disputes, if any, are settled. He can consider writing a will, which can also be amended anytime. The will can include all his wealth, including house property and gold which do not have nomination facilities.

If the tax of inherited income is to be maximised, his children can create an HUF structure. Inheritance is the basis for creating an HUF, whose income and wealth could grow over time and be taxed in the hands of the HUF. Creating a trust with his children as beneficiaries will also enable such separation of incomes.

FINANCIAL PLANNING

Q1. Ashok and Aparna Dixit are a middle-class couple in their late 40s. Ashok has a mid-level job and Aparna is a school teacher. They have two children and want to give them the best education that they can manage. Due to their limited income, they have not managed to save and invest much. They own the house they live in and have five more years to pay off the home loan. They bought the house for Rs 30 lakh and the market value is now close to Rs 1 crore. They have Provident Fund savings and some money invested in mutual funds. Their elder son wants to start his own business and Ashok wants to provide some seed capital to support his son. He is considering drawing from his investments or PF. What are the options available to Ashok and Aparna?

Ashok and Aparna represent a typical situation, where a family is short of funds when a lump-sum is needed.

Withdrawing from the Provident Fund account is not advisable because it is their primary saving tool for retirement. They will also lose interest income on the corpus until they repay the loan. Personal loans will be expensive. These are unsecured and of a shorter tenure, both of which will imply higher EMIs, which they can ill-afford given their current level of earning.

They should consider using their house, which is their best asset. They can avail of a home equity loan—a loan given against appreciation in the market value of the property by banks and housing finance companies. The loan is typically given for a fully constructed property with a clear title. The Dixits can take a home equity loan even though they have an outstanding home loan against the property. The lender will assess the current market value of the property and deduct the outstanding loan amount from this value. About 50-60% of this net value will be the eligible loan amount.

In case of a home equity loan, Ashok and Aparna will get a large amount at a good rate. The loan can be repaid over a period of up to 15 years depending on the retirement age. This will imply lower EMIs, which is very important to them in their financial situation. There is also no restriction on the purpose for which the loan can be used. Once their son's business takes off, they may even be able to repay the loan faster. Using this option would give the Dixits access to the funds they require at a reasonable rate, with the repayment terms that suit them and, importantly, without endangering their retirement corpus.

Smart things to know: Gold exchange-traded funds

- 1) Gold ETFs are mutual funds that invest in physical standard gold with 99.5% purity. Each ETF unit typically represents one gram of gold. The unit prices reflect the price of gold.
- 2) Investors need a trading account with a stock broker and a demat account since these units are traded on the stock exchange and are held in the demat form.
- 3) Investors can buy units of the scheme directly from the mutual fund at the time of the new fund offer (NFO).

- 4) After the NFO, the units are listed on the stock exchange and investors can trade at the prevailing market price.
- 5) The returns on gold ETFs will be similar to holding physical gold after adjusting the expenses charged to the fund.
- 6) Benefits of long-term capital gains tax in gold ETFs accrue after a holding period of one year, instead of three years, as in the case of physical gold.

Q2. Nitin and Asha have moved to Delhi from Bangalore after Nitin got a promotion. They have a 20-year-old daughter who plans to study business management. The couple owns a house in Bangalore, which was bought with a housing loan. They still have eight more years to repay that loan. Nitin and Asha think it would be a good idea to buy a house in Delhi. Instead of paying rent they could pay the EMI and build another solid asset. What would be the financial implications of this strategy?

Buying a house is a big-ticket investment and usually requires a large loan. Assuming that the couple will take a loan, servicing two large EMIs requires a higher level of income and savings. If they do not have a big disposable income, they would end up using costly personal loans and credit card rollovers to meet their short-term needs.

The two EMIs will restrict their investments in other assets and make their portfolio lop-sided and inflexible, with two houses, both large but illiquid. This could also prevent them from achieving other crucial financial goals. Raising money for their daughter's education and marriage would become quite tough.

While the thought of building an asset instead of paying the rent is alluring, the two are not comparable. Rental values have not risen as fast as property prices have in the past few years. In a city like Delhi, monthly rent is seldom more than 1-2% of the value of a property.

On the other hand, the interest rate on home loans can be as high as 11%. The household will stretch its finances to build an asset which is tough to sell or earn income from. The appreciation in its value may be of little actual use to the family. It might be wiser for them to live on rent in the new city or sell the property in Bangalore to buy a new one in Delhi.

MUTUAL FUND PLANNING

Q1. Hello sir. I am investing 5000 per month for last 8 months in franklin blue-chip and HDFC equity growth plans. Which other funds should i add for 15 years horizon?

Q2. I have Rs. 5 lakhs to invest. I need this money in 20 months' time for my daughter's education and protection of principal is prime motive. I would like to invest in Debt mutual fund. Please let me know which will be the best option for me.

Q3. Sir, I am interested to invest in open ended equity. For this I have selected ICICI Pru Technology Fund (Direct) - Growth and ICICI Pru Exports and other services (Direct) Growth. Which one is better?

Q4. Sir, I want your suggestions on investing lump sum Rs.70000 amount into equity MF for a period of around 3-5 yrs. Also I want to redeem my SIP of Rs.70000 from Franklyn India flexi fund to other scheme. So please suggest suitable funds to invest as lump sum& as SIP for 3-5 yrs. period. Thanks Ashish

Q5. Hi Dhiren, I am 30 yrs. M; Rs. 35000 PM salaried professional married with a kid of 2yrs. I am new to MF I would like to create a corpus amount of 5-6 Lakhs in next 10 years of time for my sons education. I am planning to invest in SIP. What is the target amount need to invest per month and the best MF plans for my financial goal?

Q6. Sir, Can I continue my investment in Franklin India,Blue Chip. I have been investing Rs.10000/ per month for the past 5 years. K.Rajakkumar, Age-57.

Q7. I am 32 year old working mother from Bangalore. Currently I have following SIPs. should I continue with it or change some allocation/fund: - 1000 in UTI Dividend Yield Fund (D) and DSP-BR Small & Mid Cap -RP (D) - 2000 in Franklin India Blue-chip (G), HDFC Equity Fund (D), HDFC Top 200 Fund (G), L&T Equity Fund (D) Target: Target is wealth creation for my retirement, and my 1.5 year daughter\'s higher education/wedding.

Q8. I am 47 yrs. NRI with two girls 10&8 yrs., investing long for long term & retirement income of 20000/-pm in 3yrs. Can you please guide me, if:

- I want to sale my entire portfolio how much profit/ gain I will make?
- How much Capital Gains tax I need to pay to the Income tax authorities?
- I don't sell my portfolio and carry on with my current portfolio and further I have 5 lakhs to invest?
- I want a corpus fund of Rs. 2.5 crore after 15 years, please advise what revision should I make in my current portfolio?

CURRENT PORTFOLIO

Name of the Fund / Stock / Fixed Asset	Date of Purchase	Units / Shares	Purchase Price per Unit	Initial Cost basis / Total cost basis
DSPBR Equity-D	30-Dec-09	575.4798	46.1116	26536.2943
Franklin India Flexi Cap-G	13-Mar-07	2,526.53	19.79	50000.0287
Franklin India Flexi Cap-G	13-Mar-07	2,273.88	19.79	45000.0852
Franklin India Opportunities-G	13-Mar-07	2,066.12	23.67	48905.0604
Franklin India Opportunities-G	13-Mar-07	1,859.50	23.67	44014.3650
HDFC Top 200-D	26-Oct-09	673.582	44.538	29999.9951
Reliance Diversified Power Sector Retail-D	7-Aug-09	385.3237	46.714	18000.0113
Reliance Equity Advantage Retail-G	8-Aug-07	9,779.95	10.225	99999.9888
Reliance Growth-G	26-Oct-09	75.996	394.7551	29999.8086
Reliance Growth-G	7-Aug-09	156.9538	229.367	36000.0222
Reliance NRI Equity-G	19-Oct-07	10,000.00	25.5588	255588.0000
Sundaram Energy Opportunities-G	1-Jan-08	10,000.00	10	100000.0000
Sundaram Select Focus Reg-D	12-Aug-09	2,486.99	12.0628	30000.0630
Sundaram Select Midcap Reg-D	12-Aug-09	1,725.71	17.3841	29999.9152
Tata Indo Global Infrastructure-G	12-Nov-07	20,000.00	10	200000.0000
UTI Balanced-G	21-Nov-06	57.787	55.13	3185.7973
UTI Balanced-G	21-Nov-06	37.1	55.13	2045.3230
UTI Balanced-G	21-Nov-06	43.76	55.13	2412.4888
UTI Balanced-G	21-Nov-06	28.097	55.13	1548.9876
UTI Balanced-G	21-Nov-06	68.649	55.13	3784.6194
UTI Balanced-G	21-Nov-06	44.075	55.13	2429.8548
UTI Infrastructure Advantage - Series I-G	23-Jan-08	20,000.00	10	200000.0000
UTI Pharma & Healthcare-G	23-Oct-07	1,092.30	19.54	21343.5420
UTI Wealth Builder-G	30-Oct-06	5,000.00	10	50000.0000
UTI Wealth Builder-G	30-Oct-06	5,000.00	10	50000.0000
TOTAL				1,380,794.2507

CONSUMER PRICE INDEX

2005	148.94
2006	152.65
2007	156.28
2008	163.57
2009	164.11
2010	168.09
2011	173.62
2012	177.77
2013	177.06

INSURANCE PLANNING

Q1. Hi, I'd like to know how HDFC Sampoon Samriddhi (Retirement) Plan compares with ICICI Savings Suraksha Plan. I think the HDFC Plan is better since it gives Enhanced Terminal Bonus (not available with ICICI) and makes payouts on compound interest basis - not sure if ICICI does the same. Please help, need urgent answers.

RETIREMENT PLANNING

Q1. My target is to accumulate Rs 1 crore for Children. I am 31 and have two children, aged 2 years and 7 months. I wish to build a corpus of Rs 50 lakh for each of them to be used 15 years later. My current salary is Rs 55,000 and I have SIPs of Rs 1,000 in HDFC Top 200, ICICI Prudential Focused Blue-chip, SBI Magnum Emerging Businesses and Rs 2,000 in IDFC Premier Equity. I plan to invest Rs 2,000 in each of the funds from January 2013 and Rs 3,000 in each of these funds from July 2013. I also plan to save for my retirement with Rs 3,000 from January 2013. Is this plan good, am I on the right track? - Sunil Reddy Narala.

Answer:

Your portfolio is made of good funds, which provide diversification and are highly rated with a proven track record and history. As you plan to periodically increase the SIP investments in these funds, you should periodically review their performance and progress towards your financial goals and continue investing. To build a corpus of Rs 1 crore in 15 years, you need a monthly SIP of Rs 19,818, earning an annualized return of 12% return or Rs 14,774, if it earns 15% every year. This should give you an indication on how much you need to invest to save Rs 50 lakh each for your two children. As you also plan to invest for your retirement, you can start investing an appropriate sum depending on the retirement corpus that you plan to build and the number of years that you can invest.

Q2. I quit an IT firm last year after working for close to 10 years. I haven't withdrawn the PF till now. Will I continue to get interest on the PF?--Amit T

Answer:

After a certain waiting period the unclaimed fund is transferred to the unclaimed deposit account. Interest on unclaimed deposit is not credited every year but it is calculated and credited to the members' accounts at the time of settlement of the claims.

Q3. I am a 25-year-old engineer with a monthly income of Rs 35,000. I make a PF (including VPF) contribution of around Rs 9,000 per month. I currently have 2 SIPs in equity MFs — Rs 2,000 in BSL Mid Cap Fund & Rs 1,500 in HDFC Top 200. I have created an emergency fund of Rs 1.20 lakh over and above a term plan from LIC of Rs 25 lakh. How can I accumulate a corpus of Rs 50 lakh before I turn 45? ----Dev

Considering the current rate of inflation Rs 50 lakh may not be sufficient to achieve your financial objective after 20 years. Considering your age and investment horizon, I would recommend you to increase your equity exposure. Instead of investing in VPF, invest in diversified equity MFs through SIP route.

Q4. A friend does not get house rent allowance, but he pays rent. Is he eligible for claiming deduction under section 80GG?

Answer:

Your friend is eligible to claim deduction under section 80GG.

Q5. I am 33 with a one-year-old daughter. I earn about Rs 1.5 lakh per month. I have a home loan EMI of Rs 40,000 per month and can save another Rs 40,000 per month. I have an SIP of Rs 10,000 running in HDFC Equity Fund. I contribute about Rs 10,000 to my PF every month. I want to invest for my retirement and my daughter's future education. How do I go about it? -RAJU SHARMA

First, you should create a contingency fund equal to six times the monthly expenses of your family and invest it in short-term debt funds. After this, you should buy life insurance, calculating the required sum assured through the human life value method.

USEFUL LINKS OF CASE STUDIES

MUTUAL FUNDS:

<http://qna.economictimes.indiatimes.com/category/Mutual-Fund-1125>

ESTATE PLANNING:

<http://qna.economictimes.indiatimes.com/category/Law-Regulations/Property-Law-1135>

INCOME TAX PLANNING:

<http://qna.economictimes.indiatimes.com/category/Taxes/Income-Tax-1139>

PERSONAL FINANCE PLANNING:

<http://qna.economictimes.indiatimes.com/category/Personal-Finance-1111>

INSURANCE PLANNING: